

of prospects for investigation that would contain an abnormally large per cent of companies that might prove to have the outstanding characteristics I am constantly seeking.

However, I attempt to use the same analytical and self-critical methods of improving the techniques of my own business that I expect the companies in which I invest to use to improve their operations. Therefore, some years ago I made a study to determine two things. How had I come to select the companies which I had chosen for investigation? With hindsight to help me, were there significant variations in the percentage of worthwhile results (in the way of outstanding investments subsequently acquired) between investigations made as a result of the original “spark plug” idea coming from one type of source and those coming from sources of a completely different nature?

What I found astonished me but is entirely logical on analysis. The business executive-scientist classification which I had believed was my main source of original ideas causing me to investigate one company rather than another, actually had furnished only about one-fifth of the leads that had excited me enough to engage in a further study. Of even greater significance, these leads had not proven an above average source of good investments. This one-fifth of total investigations had led to only about one-sixth of all worthwhile purchases.

In contrast, the first original idea for almost four-fifths of the investigations and almost five-sixths of the ultimate pay-out (as measured by worthwhile purchases) had come from a quite different group. Across the nation I had gradually come to know and respect a small number of men whom I had seen do outstanding work of their own in selecting common stocks for growth. A not necessarily complete list of these able investment men would include one or more living in such widely scattered places as New York, Boston, Philadelphia, Buffalo, Chicago, San Francisco, Los Angeles, and San Diego. In many instances I might not agree at all with the conclusions of any of these men as to a stock they particularly liked, even to the point of feeling it worthy of investigation. In one or two cases, I might even consider the thoroughness of their work as suspect. However, because in each case I knew their financial minds were keen and their records impressive, I would be disposed to listen eagerly to details they might